

Leave Policy

VWGDS (Demo) — Enterprise Policy Pack

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Owner	Human Resources	Effective Date	01-Jan-2026

This is a fictional demo document created for AI assistant / RAG training purposes. It does not represent an actual Volkswagen Group Digital Solutions policy.

1. Purpose

This policy defines the types, entitlements, and application process for employee leave to ensure fair and consistent practice across the organization.

2. Scope

Applicable to all confirmed employees and management trainees; interns are governed by a separate internship policy.

3. Definitions

Term	Definition
Earned Leave (EL)	Paid leave accrued based on service, usable for planned personal time off.
Sick Leave (SL)	Paid leave for personal illness or medical needs.
Casual Leave (CL)	Short-notice paid leave for unforeseen personal matters.
Leave Without Pay (LWP)	Unpaid leave granted when an employee has exhausted eligible paid leave balance.
Compensatory Off	Leave granted in lieu of approved work performed on a weekly-off or holiday.

4. Policy

Annual Entitlement

Employees are entitled to 18 days Earned Leave, 10 days Sick Leave, and 7 days Casual Leave per calendar year, credited proportionately on a monthly basis for new joiners.

Carry Forward

Up to 15 unused Earned Leave days may be carried forward to the next calendar year; Sick and Casual Leave lapse at year-end and are not carried forward or encashed.

Notice Period for Leave

Earned Leave of 3 or more consecutive days requires application at least 5 working days in advance; Casual Leave may be applied with 1 day notice; Sick Leave may be regularized post-facto with a medical certificate for absences exceeding 2 days.

Maternity & Paternity Leave

Maternity leave is granted for 26 weeks as per statutory requirement; Paternity leave is granted for 10 working days, to be availed within 3 months of childbirth.

Leave During Notice Period

Earned Leave may be availed during the notice period only with explicit written approval from the Reporting Manager and HR.

5. Approval Matrix

Scenario	Approval Required
Casual Leave / Sick Leave	Reporting Manager
Earned Leave (up to 5 days)	Reporting Manager
Earned Leave (>5 consecutive days)	Reporting Manager + HR Business Partner
Leave Without Pay	Department Head + HR

6. Workflow

Step 1. Employee applies for leave through the HR portal specifying leave type and dates.

Step 2. Request is routed to the Reporting Manager for approval.

Step 3. For leave exceeding 5 consecutive days, request is co-routed to HR Business Partner.

Step 4. Approved leave is reflected in the attendance system and payroll automatically.

Step 5. Sick leave beyond 2 days requires a medical certificate to be uploaded for regularization.

7. Exceptions

- Leave requests during declared organizational blackout periods (e.g., financial year-end closing) require Department Head approval regardless of duration.
- Bereavement leave of up to 5 days may be granted outside standard leave balance at HR's discretion.

8. FAQs

Q: Can unused Casual Leave be carried forward?

A: No, Casual Leave and Sick Leave lapse at the end of the calendar year.

Q: What if I fall sick during an approved Earned Leave period?

A: It continues to be recorded as Earned Leave unless a medical certificate is submitted to convert eligible days to Sick Leave, subject to HR review.

Q: Is leave encashment available on resignation?

A: Yes, unused Earned Leave balance (up to the carry-forward cap) is encashed as part of full and final settlement.

9. Contacts

Contact Point	Details
HR Helpdesk	hr.helpdesk@vvgds-demo.com
Payroll Team	payroll@vvgds-demo.com

10. Revision History

Version	Date	Change Description
1.0	01-Jan-2021	Initial release
4.0	01-Jan-2024	Revised maternity leave to statutory 26 weeks
5.1	01-Jan-2026	Updated notice period requirements